bonds of 30 European countries.[16] To our knowledge, this is the only dataset in which the breakdown of sovereign debt portfolios can be systematically traced over time for a large panel of banks.[17]

We merge these bank-level data with country-level surveys of bilateral trust from Eurobarometer. This restricts the banks' home and target observations to 15 European countries.[18] The result is an unbalanced sample of 159 banks whose debt portfolios are observed over 22 year-quarters. For the analysis of bank-level trust, the sample further declines to 108 banks, for which we can observe European branch networks on SNL Financial.[19] The outcome variable is constructed using the definition of "Gross Direct Long Exposures" (composed of banking and trading books directly owned by banks), the only category consistently found across all EBA and CEBS disclosures.[20]

Information on bilateral trust is gathered from two distinct sources more than a quarter century apart: Eurobarometer and a new large-scale nationally representative survey across 30 European countries undertaken expressly for this paper.[21] The specific question included in the early editions of Eurobarometer and in our new survey is: *I would like to ask you a question about how much trust you have in people from various countries. For each, please tell me whether you have a lot of trust, some trust, not very much trust, or no trust at all.* Following Bloom et al. (2012) and Pursiainen (2022), we focus on the last Eurobarometer survey wave (i.e., 1996) when this question was asked. Our benchmark definition of country-level bilateral trust corresponds to the percentage of people in a home country expressing "a lot of trust" toward people in

16. Most disclosures provide the full country breakdown of each bank's sovereign debt portfolio for up to 200 countries. In order to establish consistency across disclosures, only the exposures to 30 European countries are included in the sample. These (which will later be referred to as "target countries") are Austria, Belgium, Bulgaria, Cyprus, the Czech Republic, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Ireland, Iceland, Italy, Latvia, Liechtenstein, Lithuania, Luxembourg, Malta, the Netherlands, Norway, Poland, Portugal, Romania, Slovakia, Slovenia, Spain, Sweden, and the United Kingdom. Another reason for restricting target countries is that our main independent variable, trust bias derived from Eurobarometer surveys, is only available across 15 of these European countries. Robustness checks with a more comprehensive and recent survey of our own consider all 30 European countries and produce qualitatively similar results.

17. An earlier version of this dataset (up to year 2015) is used in Saka (2020). Similar information can be found in the proprietary data set at the European Central Bank (see Ongena, Popov, and Van Horen, 2019). However, compared to EBA data, ECB covers banks from a smaller subset of countries (only for Eurozone) and provides only a broad classification of countries represented in sovereign debt portfolios (that is, domestic vs. foreign) instead of full country breakdowns. Since our identification strategy builds on variation across foreign exposures, the EBA dataset is ideal for our setting.

18. These are Austria, Belgium, Denmark, Finland, France, Germany, Greece, Ireland, Italy, Netherlands, Norway, Portugal, Spain, Sweden, and the United Kingdom. See Online Appendix Table A.4.

19. A full list of banks used in country-level or in bank-level analyses (those with branch information available) alongside the dates on which their sovereign portfolio information is available is in Online Appendix F.

20. We manually collect additional data from EBA on corporate exposures as well as the maturity breakdown of sovereign exposures. These details are only available for a subset of banks and disclosure exercises.

21. See Online Appendix Table D.1 for the country and respondent composition of our new survey.

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a target country.[22] For our bank-level trust measure, we combine this country-pair-level data with branch networks of each bank, generating a time-invariant proxy of trust between each bank and each of these 15 (30) target countries when employing Eurobarometer (our new survey).

Data on branch networks of banks across European countries as a single snapshot are from SNL Financial (as of February 2016).[23] As a control variable in the country-level analysis, we compute the total number of bank branches in the target country of a bank that ultimately belong to a parent bank located in its home country.[24] For a subsample of banks included in EBA disclosures, we can directly associate bank branches at the bank–target-country level, which is what we use to construct both the measure of bank-level trust biases and the control variable employed in the bank-level analysis.[25]

Information on other variables and data sources is provided in Online Appendix A. Summary statistics for the main analysis in the paper are in Table 1, and those for the country-level analysis are reported in Online Appendix Table B.1. For the latter sample, the unconditional probability of exposure to a target country is 56%. Compared to a counterfactual with no frictions and full diversification in sovereign debt markets (i.e., unconditional probability = 1), this implies a diversification gap of 44%.[26] The

22. Our results are robust to alternative definitions such as that adopted by Guiso et al. (2009), which grades individual responses from 1 to 4 and then aggregates at the country-pair level. A summary of trust measures between home and target countries can be found in Online Appendix Tables A.4–A.5 for Eurobarometer and in Online Tables D.2–D.3 for the new survey.

23. This is the earliest date for which we can access a snapshot of bank branch networks via SNL Financial. SNL does not provide time-series information for branch networks, and, to our knowledge, there is no other publicly available dataset that does so. Banks change their branch networks very slowly (if they change them at all). Moreover, taking a single cross-section helps us avoid endogeneity over time between trust and bank branch networks. In unreported results, we find some weak evidence that the trust bias of a bank's home country toward a foreign country is correlated with the share of the bank's branches in that foreign country. Later, by comparing banks' sovereign exposures toward target countries where they do not have any branches, we show that the potential endogeneity of branch expansion decisions is not a major concern.

24. We aim to capture here the intensity of exchange of financial information between the two countries. This measure is created by taking all ultimate-parent banks located in 30 EEA countries in the SNL database, independent of whether the bank is included in EBA dataset. The purpose is to capture time-invariant banking linkages across countries. Hence, it is important to consider the full sample rather than only the restricted EBA sample. The results do not depend on this choice, however. These data cover 137,284 bank branches in total, which is 92% of all bank branches (149,242) in these countries according to World Bank data for 2014.

25. Aggregate bank branch flows between European countries are illustrated in Online Appendix Figure A.1, and bank-level branch penetrations for the ten largest multinational banks in our sample are mapped in Online Appendix Figure A.2. The subset of banks in our sample for which we can observe branch networks across Europe can be found in Online Appendix F. Note that this excludes from our bank-level analysis the European subsidiaries of all non-European banks (such as Bank of New York Mellon in Belgium), since we do not observe the branch networks of these non-European banks.

26. The diversification gap is defined as the difference between the case of full diversification and the unconditional mean observed in our sample (1–0.58 = 0.42). A simple asset pricing model with no frictions, such as the Capital Asset Pricing Model (CAPM), would predict that the share of a sovereign exposure in

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TABLE 1. Summary statistics.

Variables	Mean	Std. dev.	Min	Max	Obs.	Source
Bank-level analysis						
Sovereign exposure (dummy)	0.58	0.49	0.00	1.00	23,760	EBA and CEBS
Sovereign exposure (log nominal—in millions)	3.08	3.38	0.00	12.32	23,760	EBA and CEBS
Corporate exposure (dummy)	0.29	0.45	0.00	1.00	18,255	EBA and CEBS
Corporate exposure (log nominal—in millions)	1.64	2.92	0.00	11.95	18,255	EBA and CEBS
Bank-level trust bias (lot of trust)	0.01	0.09	−0.15	0.41	1,620	Eurobarometer/SNL
Bank-level trust level (lot of trust)	0.16	0.11	0.00	0.72	1,620	Eurobarometer/SNL
Bank-level trust bias (graded)	0.00	0.17	−0.46	0.85	1,620	Eurobarometer/SNL
Bank-level trust level (graded)	2.26	0.94	0.00	3.66	1,620	Eurobarometer/SNL
Bank-level trust bias (online—lot of trust)	0.00	0.05	−0.14	0.36	3,240	Online survey/ SNL
Bank-level trust bias (online—graded)	0.00	0.11	−0.48	0.78	3,240	Online survey/ SNL
Bank-level branches (in 000)	0.05	0.33	0.00	5.80	1,620	SNL Financial
Bank-level branch relationship	0.74	3.55	0.00	28.72	1,620	SNL Financial
Bank-level merger relationship	0.02	0.07	0.00	0.61	1,620	SDC Platinum/SNL
Bank-level media relationship	0.08	0.11	0.00	0.75	1,620	Factiva/SNL
Bank-level political relationship	0.93	0.06	0.76	1.00	1,620	UNGA/SNL
Bank-level distance relationship	1.33	0.70	0.00	3.73	1,620	MapQuest/SNL
Bank-level legal origin relationship	0.26	0.40	0.00	1.00	1,620	LP (2008)/SNL
Bank-level religious relationship	0.24	0.24	0.00	0.87	1,620	GSZ (2009)/SNL
Bank-level social media relationship	0.19	0.95	0.00	12.12	1,620	Facebook (Meta)/SNL
Bank-level genetic distance	0.01	0.00	0.00	0.03	1,620	GSZ (2009)/SNL
Bank-level somatic distance	2.35	1.66	0.00	6.00	1,620	GSZ (2009)/SNL
Bank-level cultural distance (PC1) by Hofstede	−0.05	1.14	−2.96	3.47	1,620	Hofstede (2001) /SNL
Bank-level cultural distance (PC1) by Schwartz	0.16	0.99	−2.26	2.86	1,620	Schwartz (1994) /SNL
Bank-level cultural distance by Gelfand et al.	0.01	0.01	0.00	0.06	1,620	Gelfand et al. (2011)/SNL
Bank-level cultural distance by Pellegrino et al.	0.32	0.01	0.28	0.35	1,620	Pellegrino et al. (forthcoming)/SNL
Eurozone crises	0.08	0.27	0.00	1.00	330	Datastream
Brexit salience	0.03	0.17	0.00	1.00	6,375	Authors' calculations

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TABLE 1. Continued

Variables	Mean	Std. dev.	Min	Max	Obs.	Source
Mechanisms						
Managerial sentiments	0.16	0.28	−4.31	4.84	12,212	Hassan et al. (2024)
Country-level trust bias (lot of trust—EB)	0.00	0.10	−0.18	0.42	163	Eurobarometer
Country-level trust bias (graded—EB)	0.00	0.21	−0.49	0.92	163	Eurobarometer
Country-level trust bias (lot of trust—online)	0.00	0.06	−0.14	0.36	336	Eurobarometer
Country-level trust bias (graded—online)	0.01	0.13	−0.48	0.41	336	Eurobarometer
Nationality at HQ	0.27	0.44	0.00	1.00	660	BankFocus
Nationality at HQ (senior managers)	0.25	0.43	0.00	1.00	660	BankFocus
Nationality at HQ (first nationalities)	0.19	0.39	0.00	1.00	660	BankFocus
Nationality at HQ (current managers)	0.21	0.41	0.00	1.00	630	BankFocus
Bank branches (in 000)	0.08	0.46	0.00	5.80	660	SNL Financial
Log bank branches	0.77	1.83	0.00	8.67	660	SNL Financial
Share of bank branches	0.03	0.15	0.00	1.00	660	SNL Financial

Notes: The table lists all the variables used in the main analyses of the paper. See Table B.1 for the variables from the additional country-level analyses reported in the online appendix. For the specific definitions and construction of variables, see Section 3 as well as Online Appendix A. The final column displays the data sources.

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